

HEMS Decision Framework

The 4-Question Test — Ask Before Every Distribution

The 4-Question Test

1. Which HEMS category fits?

Health (medical diagnosis/treatment) • Education (tuition/books/fees/certifications) • Maintenance (accustomed standard of living) • Support (maintenance + circumstances-based needs)

2. Does the trust document modify the standard?

Some trusts narrow to HE only, some expand. The document controls.

3. Can the trust afford it — for ALL beneficiaries?

Consider current AND future beneficiaries. Don't drain the trust for one.

4. Is this consistent with past distributions?

If you approved X for one beneficiary, what justifies more/different for another?

The Memo Template — Complete for Every Distribution

Category: _____

Amount: _____

Purpose: _____

Impact on Trust: _____

Consistency with past: _____

HEMS Quick Reference Card

H — Health

INCLUDED ✓

- ✓ Medical, dental, mental health
- ✓ Prescribed treatments
- ✓ Physical therapy
- ✓ Alternative treatments (if prescribed by licensed practitioner)

EXCLUDED ✗

- ✗ Cosmetic surgery (non-reconstructive)
- ✗ Elective procedures
- ✗ Gym memberships (unless prescribed)
- ✗ Vitamins/supplements (unless prescribed)
- ✗ “Stress vacations”

E — Education

INCLUDED ✓

- ✓ Tuition, books, room & board while enrolled
- ✓ Fees, certifications
- ✓ Vocational training

EXCLUDED ✗

- ✗ Gap-year trips
- ✗ Cars for commuting
- ✗ Student loan repayment
- ✗ Children’s tuition (unless trust says “descendants”)

M — Maintenance

INCLUDED ✓

- ✓ Accustomed standard of living (what beneficiary had before trust)

EXCLUDED ✗

- ✗ Upgrading lifestyle (luxury SUV, bigger home, designer wardrobe)

S — Support

INCLUDED ✓

- ✓ Maintenance + additional needs from circumstances
- ✓ Disability, divorce, dependent children

EXCLUDED ✗

- ✗ Startup capital / entrepreneurial investments
- ✗ Gifts to non-beneficiaries

Critical Reminder

- Every distribution must fit at least one HEMS category.
- Write a 2-minute memo for every distribution.
- The document controls — HEMS is the default, not the rule.